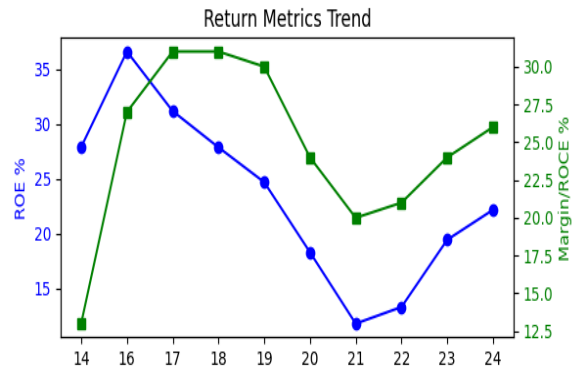
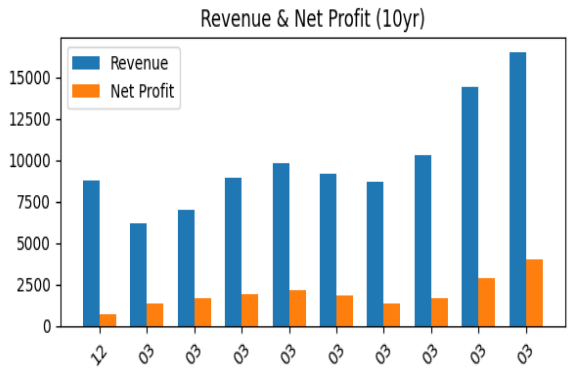
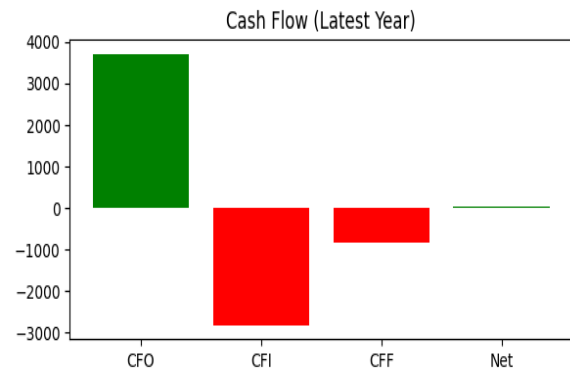
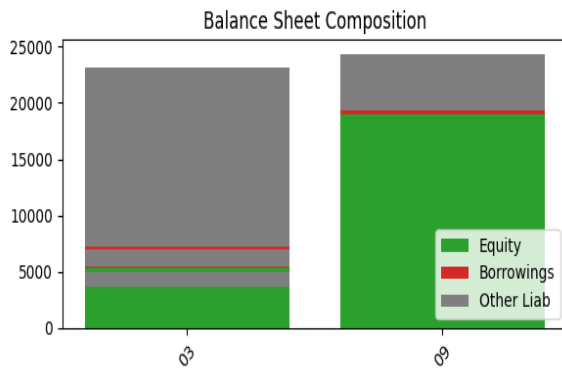


# Eicher Motors Ltd (EICHERMOT)

|                |       |            |       |
|----------------|-------|------------|-------|
| ROE %          | 22.2% | D/E Ratio  | 0.02  |
| Net Profit Mgn | 24.2% | FCF (Cr)   | 890   |
| Asset Turnover | 0.72  | Div Payout | 35.0% |



# Eicher Motors Ltd - Financial Health & Profile



**Capital Allocation Pattern:** Reinvestor

## **Pros:**

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

## **Cons:**

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk